ClaimReady: Small Claims, Filed Right

For the invoice too small for a lawyer and too large to write off.

ClaimReady helps NYC freelancers turn messy contracts, invoices, emails, and screenshots into a court-ready small-claims packet for unpaid service work.

The user. The concrete user is a New York City freelancer or solo service provider owed $1,000–$10,000 by a NY-registered LLC or corporation: a designer, developer, photographer, writer, tutor, consultant, or marketer with a contract, invoice, emails, screenshots, or notes showing completed work and nonpayment. This is not a niche edge case. Upwork estimates that 64 million Americans freelanced in 2023, or 38% of the U.S. workforce. A New York freelancer survey found that 62% experienced nonpayment; among those who lost income, 51% lost more than $1,000 and 22% lost more than $5,000.

The problem. Today, the user sends awkward follow-up emails, copies a generic demand-letter template, gives up, or tries to file in small claims alone. Hiring counsel rarely makes sense: Clio reports the average New York lawyer hourly rate at $426, which can consume the economics of a $2,000–$5,000 claim. Small claims is designed for this gap, but filing still requires the user to identify the correct legal defendant, find a service address, choose venue, organize exhibits, calculate damages, and create forms the clerk can process. NYC Small Claims allows claims up to $10,000 with only a $15–$20 filing fee, but the paperwork and confidence gap stop many people before they start.

The economics. For one user-month, assume one case packet: about 120k input tokens for intake, evidence, retrieval, and tool context, plus 15k output tokens for extracted facts, agent outputs, and final drafting. With Gemini 2.5 Flash pricing around $0.30 per 1M input tokens and $2.50 per 1M output tokens, model cost is about $0.07 per case. Cloud Run, storage, PDF generation, logs, failed runs, payment fees, and light support add an estimated $3–$5 of variable cost; the model is not the cost driver—infrastructure and Stripe fees are.

Pricing ladder. ClaimReady starts with simple flat pricing, then adds value capture once usage proves demand. **Phase 1:** $29 per packet to validate willingness-to-pay and gather the first thousand testimonials and defendant patterns. **Phase 2:** $29 plus 1–2% of claim value at filing, charged upfront rather than as a contingency on recovery; trigger this after roughly 500 sustained cases/month. **Phase 3:** B2B distribution inside freelancer-facing platforms—Upwork, Fiverr, FreshBooks, QuickBooks Self-Employed—at a $10–$15 wholesale price, with the partner paying acquisition.

Item	Phase 1 (Launch)	Phase 2 (Scale)	Phase 3 (Distribution)
Price	$29 / packet	$29 + 1.5% of claim value	$10–$15 wholesale
Avg revenue / case	$29	∼ $81 (avg claim $3.5k)	∼ $12
Variable cost	$3–$5	$3–$5	$3–$5
Contribution / case	∼ $25 (∼85%)	∼ $76 (∼94%)	∼ $8 (∼67%)
CAC payback	< 1.5× / case	∼3× / case	Partner-paid CAC

CAC and payback. Blended CAC at launch is estimated at $15–$30: SEO on the "how do I sue an LLC in NY" long-tail, Reddit communities for freelancers and personal finance, freelancer Twitter, and partnerships with coworking spaces and small-business accountants. That gives contribution-margin payback of under 1.5× per case at the $29 flat price and roughly 3× per case once Phase 2 take-rate pricing is live. Per-case payback matters more than LTV here because small claims is episodic.

Breakeven and margin risks. Fixed monthly burn at launch is roughly $8–$12k (Cloud Run minimums, Vertex AI baseline, part-time-equivalent founder time), so breakeven sits near 400 cases/month at flat $29 and roughly 150 cases/month once Phase 2 is live—the take-rate transition is what makes the business compound rather than just survive. The margin killers are concentrated and known: huge evidence sets that explode token cost beyond the $0.07 baseline, refund and chargeback exposure if packet quality slips, Stripe fees of about 4% on a $29 ticket, high-touch support when service-of-process bounces, and jurisdiction-expansion engineering when the wedge moves outside NYC.

Why these technical choices. The system mirrors the real filing workflow. The Next.js wizard collects court-required facts; the Extractor turns messy evidence into structure; the DefendantResolver checks the NY Department of State registry; and the JurisdictionChecker uses deterministic tools plus a small Chroma RAG corpus to validate cap, statute of limitations, venue, and citations. Structured Pydantic outputs make the PDF renderer reliable. Gemini 2.5 Flash fits because it supports multimodal, long-context evidence review while keeping token cost far below the $29 price.

Risks and mitigations.
1. Bar and UPL risk: ClaimReady is form preparation and educational guidance, not legal advice; every output carries a disclaimer, and complex cases are flagged for attorney review.
2. Data dependency: NY DOS is the source of truth for defendant lookup, mitigated by caching, manual verification fallback, and a per-state registry plug-in path.
3. Model and quality risk: Pydantic outputs, deterministic jurisdiction tools, RAG citations, and a packet-review checkpoint bound the LLM's surface area.
4. Refund and chargeback risk: the $29 ticket caps exposure, and failure modes are concrete enough to support a "court-ready or your money back" guarantee.

Go-to-market. Three channels at launch with a partnership path layered on top.
1. SEO on the "how do I sue an LLC in NY" long-tail, with borough-specific landing pages and anonymized case-study posts.
2. Community presence in Reddit communities for freelancers and personal finance, freelancer Twitter, and the Freelancers Union mailing list.
3. Local partnerships with coworking spaces, small-business accountants, and freelance-friendly co-ops, where ClaimReady is offered at a member-benefit discount.
4. The Phase 3 path: B2B distribution inside freelancer-facing platforms where the partner pays acquisition and ClaimReady captures the engine economics—unlocked once consumer-channel CAC and packet-quality metrics are proven.

MVP and wedge. The MVP is deliberately narrow: NYC small-claims, unpaid-invoice disputes, and NY-registered business defendants. NYC is the wedge because it has dense freelancer demand, a generous $10,000 cap, and public DOS entity data. Winning this workflow gives ClaimReady real users, packet data, defendant patterns, and a reusable filing engine. Expansion then follows two paths: **claim types** such as security deposits, consumer-services contracts, unreturned property, and vendor disputes; and **jurisdictions** such as CA, TX, IL, and FL, where the same architecture can swap in local caps, venue rules, forms, and entity registries.

Close. ClaimReady wins by being deliberately small at launch: not "AI lawyer for everything," but a cheap, focused filing assistant for one painful, common, economically underserved workflow, designed from day one as the wedge for a broader civil-claims platform.

Sources: Upwork Freelance Forward 2023; NY freelancer nonpayment survey; NYC Small Claims filing instructions; Clio NY lawyer rates; Google Vertex AI pricing.